

6 October 2026

Circular: Reserve Assets Audit Report

VARA is issuing this Circular following a thematic review of all Proof of Reserve Assets reports submitted in 2025. The purpose of the Circular is to clarify VARA's minimum regulatory expectations in relation to the independent audit of Reserve Assets and to promote a consistent, robust, and sufficiently detailed approach to the assessment and verification of client Virtual Asset ("VA") safeguarding arrangements.

This Circular is intended to support the delivery of effective independent assurance over the existence, custody, reconciliation, and protection of Client Virtual Assets. It should be read in conjunction with the applicable VARA Rulebooks and any reporting requirements or instructions issued by VARA from time to time.

Applicable regulatory requirements

- **Company Rulebook, Rule VI.E:** where a VASP must, at all times, maintain Reserve Assets equal to 100% of liabilities owed to clients in respect of VA Activities. Reserve Assets must be held on a one-to-one basis in the same Virtual Asset in which the corresponding liability is owed, reconciled daily and audited by an independent third party auditor.
- **Compliance and Risk Management Rulebook, Rules V.B.3 and 4:** where Client VAs must be held in wallets separate from the VASP's own Virtual Assets and appropriately identified in the VASP's books and records. Client VAs must be held on a one-to-one basis and must not be rehypothecated, except where the applicable client consent and VARA licensing requirements are satisfied.
- **Compliance and Risk Management Rulebook, Rule V.D.1:** where VASPs must maintain systems to ensure accurate daily reconciliation of Virtual Assets owned by each client, including complete individual client credit and debit ledger balances.

The appointment of an external auditor does not transfer or reduce the responsibility of the VASP, its Board, Senior Executive Officer or control functions to ensure ongoing compliance and the effective safeguarding of Client VAs.

Minimum scope of the independent audit

The audit engagement must be sufficiently detailed to enable the auditor to form a clear conclusion on VASP's compliance with the above requirements. At a minimum, the auditor should:

1. Confirm that Reserve Assets were maintained at not less than 100% of aggregate client liabilities throughout the review period;
2. Confirm that Reserve Assets were held on a one-to-one basis in the same type of Virtual Asset as the corresponding client liability, without substitution by another Virtual Asset or equivalent value;
3. The audit scope covers all wallets used to hold Client VAs, including but not limited to, hot, warm and cold wallets, assets held through wallet infrastructure providers, and assets held with third-party custodians;
4. Assess whether Client Virtual Assets were segregated from the VASP's proprietary or operational Virtual Assets and identify any commingling.
5. Confirm whether the VASP maintains control over all wallets used to hold Client Virtual Assets during the review period, and describe the custody arrangement for each wallet, i.e. whether the assets were held by a licensed third-party custodian, or through a self-custody wallet solution (including wallets operated via third-party wallet technology providers).
6. Confirm that Reserve Assets were subject to daily reconciliation against client liabilities and that appropriate evidence was obtained and reviewed to verify the effectiveness of the reconciliation process.
7. Confirm whether any rehypothecation, lending, pledging or other use of Client Virtual Assets occurred during the review period. If so, please provide details of the arrangements and the assets affected.

Audit report and treatment of findings

VARA expects the audit report to clearly describe, for each item within the minimum scope of the independent audit set out above, the procedures performed, evidence obtained, sampling methodology applied (including the selection of samples across the review period), any reliance placed on third parties, and any scope limitations encountered during the engagement.

The report should also set out the findings identified and explain the process for addressing any exceptions, including whether follow-up procedures were performed by the audit firm as part of the engagement or are to be managed through the VASP's internal compliance and remediation framework.

The audit report should provide a clear conclusion against each element of the minimum scope of the independent audit and distinguish between compliant outcomes, identified exceptions, scope limitations, and matters that could not be independently verified. The basis for each conclusion should be clearly documented. Where independent evidence is reasonably available, management representations alone should not be relied upon as sufficient audit evidence.

Yours sincerely,

Market Assurance

Virtual Assets Regulatory Authority (VARA)